Solvay Brussels School
Economics & Management

GEST-S2701 – Exercise Session

ES 7. Financial fixed assets + Short-term investments

2025-2026

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Exercise 7.1

When are shares and equity interests recorded in the following accounts?

# MSCA	MSCA name
2800	Participating interests in affiliated enterprises companies: Acquisition value
2820	Participating interests in other enterprises companies linked by participating interests: Acquisition value
2840	Other shares: Acquisition value
5100	Shares and investments other than fixed income investments: Acquisition value

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Exercise 7.1

#MSCA	MSCA Name	Explanation
2800	Participating interests in affiliated enterprises companies	% held ≥ 50% (Concept of control) AND Connection lasting
2820	Participating interests in other enterprises companies linked by participating interests	% held between 10 and 50% (Concept of participation) AND Connection lasting
2840	Other shares	Held < 10% (Concept of long-term relationship) AND Connection lasting
5100	Shares and investments other than fixed income investments	Connection non-lasting

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Exercise 7.2

The ACQUIRER company has capital of EUR 200,000 fully paid (no other liabilities) and its only asset is the "Credit institutions: current accounts" account, which amounts to EUR 200,000.

It wishes to purchase, with a long-term view, shares in the TARGET company, which presents the following trial balance as of 30 September 2023:

Bulidings: Acquisition value	100,000 €
Buildings: Accumulated depreciation	25,000 €
Concessions, patents, licenses, know-how, brands and similar rights: Acquisition value	10,000 €
Concessions, patents, licenses, know-how, brands and similar rights: Accumulated depreciation	5,000 €
Trade receivables (≤ 1 year): Customers	20,000 €
Credit institutions: Current accounts	25,000 €
Capital	100,000 €
Legal reserves	10,000 €
Available reserves	5,000 €
Financial liabilities (> 1 year)	6,000 €
Trade payable (≤ 1 an) : Suppliers	4,000 €

Exercise 7.2

1) The ACQUIRER company acquires all shares of TARGET from the shareholders, for a price paid (to those same shareholders) of EUR 137,500.

a) The ACQUIRER company does it a good deal?

Exercise 7.2 – 1a) Good deal?

- Net book value = Net assets = equity = Assets – Liabilities – PRID = 100,000 + 10,000 + 5,000 = **115,000 €**
- Has the ACQUIRER company made a good deal? The company pays a price of EUR 137,500, which is higher than book value.
- **However, market value generally differs from book value**

→ Since we have no information that allows us to determine the market value of TARGET, we cannot say whether the ACQUIRER company made a good deal or not.

Exercise 7.2

1) The ACQUIRER company acquires all shares of TARGET from the shareholders, for a price paid (to those same shareholders) of EUR 137,500.

b) In which balance sheet item will the purchased shares be recorded?

Exercise 7.2 – 1b) Balance Sheet

- This acquisition covers 100% of the shares and the connection is lasting
- The participation will be recorded in account 2800 "Participating interests in affiliated enterprises companies : Acquisition value"

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Exercise 7.2

1) The ACQUIRER company acquires all shares of TARGET from the shareholders, for a price paid (to those same shareholders) of EUR 137,500.

c) Record the journal entries in ACQUIRER's journal

Exercise 7.2 – 1c) Journal

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
	2800		Participating interests in affiliated enterprises companies: Acquisition value	137,500	
		550.0	Credit institutions: Current accounts		137,500

Exercise 7.2

1) The ACQUIRER company acquires all shares of TARGET from the shareholders, for a price paid (to those same shareholders) of EUR 137,500.

d) Identify the direct and indirect impacts on ACQUIRER's cash flows

Exercise 7.2 – 1d) Cash flows

- Cash flow impact

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	0	-137,500	**-137,500**	0	**-137,500**
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tex settlement	0	0	0	0	0
Total impact	**0**	-137,500	**-137,500**	**0**	**-137,500**

Exercise 7.2

2) Then, the ACQUIRER company proceeds with a silent merger (after agreement of creditors) with TARGET, meaning that the TARGET company, of which all shares are already held by the ACQUIRER company, is dissolved ("dissolution without liquidation").

a) Record the journal entries in ACQUIRER's journal

Exercise 7.2 – 2a) Journal

- Journal

Date	N° SCA Debit	N° SCA Credit	Name	Amount (€) Debit	Amount (€) Credit
	221.0		Buildings: Acquisition value	100,000	
	211.0		Concessions, patents, licenses, know-how, brands and similar rights: Acquisition value	10,000	
	400		Customers	20,000	
	212.0		Goodwill: Acquisition value	22,500	
	550.0		Credit institutions: Current accounts	25,000	
		221.9	Buildings: Accumulated depreciation		25,000
		211.9	Concessions, patents, licenses, know-how, brands and similar rights: : Accumulated depreciation		5,000
		173	Credit institutions		6,000
		440	Suppliers		4,000
		2800	Participating interests in affiliated enterprises companies : Acquisition value		137,500

Exercise 7.2 – 2a) Journal: Goodwill

Goodwill

- Represents the difference between the acquisition value and the book value (= net assets = equity) of the acquired company:
  - Here, 137,500-115,000 = **22,500€**
- This is the "premium" paid by the acquiring company relative to the book value of the target company.
- Is recorder as Intangible fixed assets
- Is amortizable

Exercise 7.2

2) Then, the ACQUIRER company proceeds with a silent merger (after agreemd of creditors) with TARGET, meaning that the TARGET company, of which all shares are already held by the ACQUIRER company, is dissolved ("dissolution without liquidation").

b) Identify the direct and indirect impacts on ACQUIRER's cash flows

Exercise 7.2 – 2b) Cash flows

- Cash flow impact

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	-16,000	+35,000	+19,000	+6,000	+25,000
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tex settlement	0	0	0	0	0
Total impact	**-16,000**	**+35,000**	**+19,000**	**+6,000**	**+25,000**

In the case of a merger, the legal entity of the absorbed company disappears and its balance sheet (assets, liabilities and provisions) is integrated into that of the absorbing company. This results in a "mechanical" impact on Cash Flow Statement of the absorbing company. For example: the net book value of buildings, which was EUR 75,000 in the balance sheet of the absorbed company, is integrated into the balance sheet of the absorbing company, which generates the following "mechanical" impact: Investment CF = -EUR 75,000.

Exercise 7.2 – 2b) Cash flows

- Cash flows (indirect method - at the time of journal entry), based on the *Cash Flow Statement* simplified:

Operating CF (CF op) =	**-16,000 €**
NetProfit	+ 0
– Δ WCR	– (20,000 – 4,000) = -16,000
+ Depreciation$_{FA}$	+ 0 – 0
Investment CF (CF inv) =	**+35,000 €**
– Δ (FE + FA)	– (100,000 + 10,000 + 22,500 – 25,000 – 5,000 – 137,500) = +35,000
– Depreciation$_{FA}$	– 0 + 0
Financing CF (CF fin) =	**+6,000 €**
Δ APP	0
+ Δ FinExp – Δ OpRev	+ 6,000
CF op + CF inv + CF fin =	**+25,000 €**

Exercise 7.2 – 3) Restated Balance Sheet

3) Compare ACQUIRER's restated balance sheet before acquisition of shares, after it and after the silent merger.

Exercise 7.2 – 3) Restated Balance Sheet

- Before purchase of shares

BALANCE SHEET (Restated)			
200,000 €	**ASSETS**	**LIABILITIES**	**200,000 €**
	FE	CAP	200,000 €
	FA	RS	
		RES	
		RE	
		SUBS	
		PRDT	
	FinA	LTD	
	INV		
	AR	AP	
	Acc (A)	Acc(L)	
	INVST		
200,000 €	CASH		

Exercise 7.2 – 3) Restated Balance Sheet

- After purchase of shares

BALANCE SHEET (Restated)			
200,000 €	**ASSETS**	**LIABILITIES**	**200,000 €**
	FE	CAP	200,000 €
	FA	RS	
		RES	
137,500 €		RE	
		SUBS	
		PRDT	
	FinA	LTD	
	INV		
	AR	AP	
	Acc (A)	Acc(L)	
	INVST		
62,500 €	CASH		

Exercise 7.2 – 3) Restated Balance Sheet

- After silent merger

- 100,000 – 25,000 (buildings)
- 10,000 – 5,000 (patents)
- 22,500 (goodwill)

=

BALANCE SHEET (Restated)			
210,000 €	**ASSETS**	**LIABILITIES**	**210,000 €**
	FE	CAP	200,000 €
	FA	RS	
		RES	
102,500 €		RE	
		SUBS	
		PRDT	
	FinA	LTD	6,000 €
	INV		
20,000 €	AR	AP	4,000 €
	Acc (A)	Acc(L)	
	INVST		
87,500 €	CASH		

Exercice 7.2

4) What should have been recorded in the journal at the time of the silent merger if the price paid (to the shareholders of TARGET) had been 110,000 €?

Exercise 7.2 – 4) Price of 110,000 €: Journal

- Acquisition value < book value → Negative goodwill ?
  Badwill ?
  Revaluation of asset and/or liability items?

- Acquisition value < book value **prudence principle** (that is, there are generally assets overvalued and/or liabilities undervalued in accounting terms compared to their market value)

- There is no negative goodwill or badwill in Belgian accounting! Therefore, the value of assets must be revised downward and/or the value of liabilities upward, according to the **prudence principle**.

Exercice 7.2

5) Are there entries in the journal and direct and indirect impacts on cash flows au niveau de la société CIBLE ?

a) At the time of acquisition of shares

Exercise 7.2 – 5a) TARGET company – acquisition of shares

- Journal: no entry, its shareholding is simply modified.
- Cash flows: the ACQUIRER company buys from shareholders, so no impact on TARGET's cash flows.

Exercice 7.2

5) Are there entries in the journal and direct and indirect impacts on cash flows at the level of the TARGET company?

b) At the time of silent merger

Exercise 7.2 – 5b) TARGET company – silent merger

- Journal: no entry, the company ceases to exist (dissolution without liquidation)
- Cash flows: no impact, the company simply ceases to exist (dissolution without liquidation)

Exercise 7.3

KATE company has three partners: Voldemort (10% shareholder), Harry and Potter (equal shareholders for the remainder). At the close of its financial year, at the end of December 2022, KATE presented the following balance sheet:

Land : Acquisition value	25,000 €
Buildings: Acquisition value (acquired on 01/01/2007)	100,000 €
Buildings: Depreciation recorded	80,000 €
Participating interests in other enterprises companies linked by participating interests : Acquisition value (1)	60,000 €
Goods purchased for resale: Acquisition value	2,000 €
Finished goods: Acquisition value	4,000 €
Customers	10,000 €
Credit institutions: current account	380,000 €
Capital (2)	100,000 €
Legal reserves	35,000 €
Available reserves	366,000 €

(1) The entire amount concerns the company JAKE SA.

(2) 5,000 shares with a face value of 20 €.

Exercise 7.3

1) For each of the operations below, record the entry in the journal and identify direct and indirect impacts on cash flows.

Exercise 7.3 – Operation #1

1. On 22/04/2023, the KATE company acquires 1,020 shares of BETTY SA at the price of 150,000 €, thus giving it a 51% participation in BETTY's capital.

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Exercise 7.3 – Operation #1

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
22/04/2023	2800		Participating interests in affiliated enterprises companies: Acquisition value	150,000	
		550.0	Credit institutions: Current accounts		150n000

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Exercise 7.3 – Operation #1

- Impact on cash flows

Timing	**CFop (1)**	**CFinv (2)**	**FCF (3) = (1) + (2)**	**CFfin (4)**	**Δ CASH (5) = (3) + (4)**
Direct impact: at accounting entry	0	-150,000	-150,000	0	-150,000
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tex settlement	0	0	0	0	0
Total impact	**0**	**-150,000**	**-150,000**	**0**	**-150,000**

Exercise 7.3 – Operation #2

2. On 15/06/2023, it acquires, at the price of 25,000 €, 250 shares of JAKE SA, of which it previously held 30% of the capital. This brings its participation to 40% of JAKE's capital. The shareholder agreement grants it more than 50% of voting rights associated with shares.

Exercise 7.3 – Operation #2

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
15/06/2023	2800		Participating interests in affiliated enterprises companies: Acquisition value	25,000	
		550.0	Credit institutions: Current accounts		25,000
	2800		Participating interests in affiliated enterprises companies: Acquisition value	60,000	
		2820	Participating interests in other enterprises companies linked by participating interests: Acquisition value		60,000

Exercise 7.3 – Operation #2

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	0	-25,000	-25,000	0	-25,000
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tex settlement	0	0	0	0	0
Total impact	**0**	**-25,000**	**-25,000**	**0**	**-25,000**

Exercise 7.3 – Operation #3

3. On 15 July 2023, the company, having a cash surplus, decided to buy €150,000 worth of SOLVAY shares, as it believed it would be able to sell them at a profit within a few years.

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Exercise 7.3 – Operation #3

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
15/07/2023	5100		Shares and investments other than fixed income investments	150,000	
		550.0	Credit institutions: Current accounts		150,000

Exercise 7.3 – Operation #3

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	0	0	0	0	0
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tex settlement	0	0	0	0	0
Total impact	**0**	**0**	**0**	**0**	**0**